

Objective (CY2026)

Build Zomato into the most habit-forming food delivery platform by maximizing user engagement and long-term retention.

Key Results (KRs)

KR1: Increase Monthly Active Users (MAU)

KR2: Improve 90-day user retention

KR3: Increase average orders per user per month

KR4: Increase customer lifetime value (CLTV)

KR1: Increase MAU

Initiative 1: Personalized Home Feed (AI-driven recommendations)

Why: Better discovery → Higher engagement

Metric Ladder-

- **Input Metrics**
 - % users with preference data captured
 - ML model accuracy (CTR prediction)
 - Number of personalized recommendations shown
- **Output Metrics**
 - Click-through rate (CTR)
 - Session time per user
 - Restaurants explored per session
- **North Star Metric Contribution**
 - Increase in **Monthly Active Users (MAU)**

Initiative 2: Referral & Social Sharing Program

Why: Organic user growth via network effects

Metric Ladder

- **Input Metrics**
 - Referral invites sent
 - Incentive attractiveness (coupon usage rate)
- **Output Metrics**
 - Referral conversion rate
 - New users acquired via referrals
- **North Star Metric Contribution**
 - Increase in **MAU**

KR2: Improve 90-day Retention

Initiative 1: Subscription Program Enhancement (Zomato Gold/Pro)

Why: Lock-in effect → repeat usage

Metric Ladder

- **Input Metrics**
 - Subscription pricing experiments
 - Feature adoption (free delivery, discounts)
- **Output Metrics**
 - Subscription conversion rate
 - Repeat order frequency (subscribers vs non-subscribers)
- **North Star Metric Contribution**
 - Increase in **User Retention Rate**

Initiative 2: Lifecycle Engagement (Notifications + CRM)

Why: Bring users back at the right time

Metric Ladder

- **Input Metrics**
 - Push notifications sent
 - Personalization score of notifications
- **Output Metrics**
 - Notification CTR
 - Re-engagement rate (inactive → active users)
- **North Star Metric Contribution**
 - Increase in **Retention Rate**

KR3: Increase Orders/Users

Initiative 1: Smart Reordering & “1-Click Meals”

Why: Reduce friction → increase frequency

Metric Ladder

- **Input Metrics**
 - % users with saved orders
 - UI exposure to reorder feature
- **Output Metrics**
 - Reorder rate
 - Time-to-checkout reduction
- **North Star Metric Contribution**
 - Increase in **Orders per User**

Initiative 2: Meal Bundles & Combos

Why: Increase basket size + ordering occasions

Metric Ladder

- **Input Metrics**
 - Number of bundle options created
 - Discount depth on combos
- **Output Metrics**
 - Average order value (AOV)
 - Combo adoption rate
- **North Star Metric Contribution**
 - Increase in **Orders per User**

KR4: Increase CLTV

Initiative 1: Dynamic Pricing & Offers Optimization

Why: Maximize revenue per user

Metric Ladder

- **Input Metrics**
 - Discount experiments run
 - Price elasticity data captured
- **Output Metrics**
 - Conversion rate per offer
 - Revenue per user
- **North Star Metric Contribution**
 - Increase in **Customer Lifetime Value (CLTV)**

Initiative 2: Loyalty Program (Points/Cashback System)

Why: Encourage repeat behaviour

Metric Ladder

- **Input Metrics**
 - Points issued
 - Redemption options
- **Output Metrics**
 - Redemption rate
 - Repeat purchase rate
- **North Star Metric Contribution**
 - Increase in **CLTV**

Final North Star Metric (NSM)

Total Monthly Orders (Platform-wide)

Why this NSM works:

- Captures **engagement (orders/user)**
- Reflects **retention (repeat behaviour)**

- Aligns with **revenue growth**
- Hard to game (needs real user value)

Food Delivery Funnel Analysis

Funnel Overview

App Open → Restaurant Discovery → Menu View → Cart Creation → Checkout → Order Placed → Order Delivered

Funnel Table with Drop-offs & Hypotheses

Stage	Likely Drop-off Point	Why Users Drop Off	Improvement Hypothesis
1. App Open	Users open but leave within seconds	No immediate value / irrelevant homepage	Personalize homepage with “frequently ordered”, time-based suggestions (e.g., lunch/dinner), and location-aware recommendations
2. Restaurant Discovery	Users browse but don’t click any restaurant	Too many options → decision fatigue	Introduce “smart ranking” (AI-based top 5 recommendations) + filters like “fast delivery”, “budget meals”
3. Menu View	Users view menu but don’t add items	High prices, confusing menus, lack of trust	Highlight bestsellers, show reviews/photos, and add “value for money” tags
4. Cart Creation	Users add items but abandon cart	Hidden costs (delivery fee, taxes), high final price	Show transparent pricing upfront + “free delivery unlock” nudges
5. Checkout	Users reach checkout but don’t complete payment	Payment friction, limited options, failed transactions	Enable 1-click checkout, UPI auto-fill, and offer instant cashback incentives
6. Order Placed	Users place order but don’t return later	Poor experience (late delivery, wrong order)	Improve delivery ETA accuracy + proactive issue resolution (refunds/support)
7. Order Delivered	Users don’t reorder	No post-order engagement / weak retention loop	Trigger personalized re-order nudges + loyalty rewards after delivery

Key Drop-off Insights (High-Impact Areas)

Biggest Drop-offs Typically Occur At:

- 1. Restaurant Discovery → Menu View**
Decision fatigue + poor recommendations

2. **Cart Creation → Checkout**
Price shock (hidden fees)
3. **Order Delivered → Next Order (Retention gap)**
Weak habit formation

Strategic Hypothesis Summary

- **Discovery Problem → Solve with AI Personalization**
- **Pricing Problem → Solve with Transparency + Smart Nudges**
- **Retention Problem → Solve with Habit Loops (rewards + reminders)**

Cohort Definitions

1. New Users vs Repeat Users

- **New Users:** First 1–3 orders
- **Repeat Users:** 4+ lifetime orders

2. High-Frequency vs Low-Frequency Users

- **High-Frequency:** ≥ 4 orders/month
- **Low-Frequency:** ≤ 1 –2 orders/month

3. Discount-Driven vs Full-Price Users

- **Discount-Driven:** Majority orders placed using coupons/offers
- **Full-Price Users:** Orders without discounts

Cohort Analysis Table (Retention Challenges + Hypotheses)

Cohort	Retention Drop Reason	Why It Happens	Improvement Hypothesis
New Users	Don't return after first order	Poor first experience (late delivery, quality mismatch, high price vs expectation)	Create a “perfect first order” journey → prioritize best-rated restaurants, guaranteed delivery time, and post-order feedback resolution
Repeat Users	Plateau after few orders	Lack of novelty / boredom	Introduce personalized discovery + new cuisine recommendations to keep experience fresh
High-Frequency Users	Burnout or switch to competitors	Overuse → fatigue, better offers elsewhere	Launch loyalty tiers (VIP perks, exclusive deals) to retain top users
Low-Frequency Users	Long gaps between orders	Food delivery seen as occasional luxury	Trigger contextual nudges (weekend offers, payday campaigns, meal-time reminders)

Cohort	Retention Drop Reason	Why It Happens	Improvement Hypothesis
Discount-Driven Users	Churn when discounts reduce	No intrinsic loyalty, price-sensitive	Gradually shift from discounts → value bundling (combos, subscriptions)
Full-Price Users	Expect premium experience, churn if unmet	High expectations on quality & service	Offer premium experience (priority delivery, curated restaurants)

Key Insights

Major Retention Problems:

- **New Users:** First impression failure
- **Discount Users:** No real loyalty (only price-driven)
- **Low-Frequency Users:** Weak habit formation

Strategic Hypotheses Summary

- **Onboarding Problem** → Solve with “First Order Success Guarantee”
- **Engagement Problem** → Solve with Personalization & Discovery
- **Loyalty Problem** → Solve with Tiered Rewards (not just discounts)

Success Metrics (Evaluation Layer)

We will measure success across 3 dimensions:

1. Growth & Engagement

- Total Monthly Orders (North Star)
- Orders per User

2. Retention

- 90-day retention rate
- Repeat purchase rate

3. Conversion Efficiency

- Cart → Order conversion rate

Why this direction makes sense for Zomato

- It directly addresses key drop-offs in the funnel (discovery, pricing, retention)
- It focuses on increasing order frequency and habit formation, which is critical in food delivery

- It improves long-term retention and reduces dependency on discounts, leading to higher CLTV